



Qualification Programme Examination Panelists' Report

Module 13 – Business Assurance (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case was related to the operation of theme park which had gone through its peak following severe competitions. In order to improve its business performance, the entity acquired another entertainment business aiming for synergy. The entity was a subsidiary owned by a foreign entity therefore it had various relationship and reliance from its parent company. Certain market data and published information was provided in the case. This section aimed to test the candidates as to how to evaluate and analyse the non-financial information and embed into their audit strategy, it tested the candidates' analytical skill, risk assessment, related party transactions, and accounting for business combination.

Specific Comments

Question 1 – 12 marks

This question required candidates to analyse the non-financial information which included the number of visitors for the past ten years in order to evaluate the audit risk on certain accounts and assess its risk based on various assertions. As the data provided in the case background was clearly illustrated, candidates were generally able to make use of this information and assess the risk. The results were satisfactory. This question had 4 marks for communication and analytical skills, and candidates generally obtained marks on top of their analysis.

Question 2(a) – 6 marks

This question required the candidates to evaluate the risk of material misstatements in the financial statements that result from the related party relationships. The first step of this question was for the candidates to identify the specific related party relationship from the case background. However, not many candidates were able to identify all these relationships. As a result, they were unable to obtain adequate marks for this question. The overlooked related party relationship was the dominant management which was controlled by the parent company.



Question 2(b) – 4 marks

This question required the candidates to propose audit procedures to respond to the risk identified in question 2(a) above. In this part, candidates have done better as they can propose procedures to audit related party transactions which can be found in the text books.

Question 3 – 12 marks

This question required the candidates to propose procedures to audit the calculation of goodwill. This is a new style of question as in the past we would normally test the candidates' ability to assess impairment of goodwill. The question itself is not difficult, if the candidate can make use of all the information as set out in the question, they could score adequate marks. However, the results were not very good because most candidates seemed inclined to copy certain general audit procedures instead of specific procedures to audit the goodwill calculation. Certain candidates even provided answers which were related to the use external expert in an audit which was beyond the scope of this question.

Question 4

This question was related to a situation when the entity had breached the bank loan covenants at the reporting date. It was divided into two hypothetical situations in (a) and (b) and expected the candidates to distinguish the differences in the audit risk focus and provide evidence of how to respond to the risk of each of these two situations.

Question 4(a) – 4 marks

This question required candidates to describe how to consider a situation when management obtained a waiver for a breach of bank loan covenants and proposed audit procedures. The situation is not commonly seen but it can test the candidates' ability to how to obtain relevant and reliable evidence from this scenario. The candidates did not perform well perhaps this is a situation they have not faced before.

Question 4(b) – 4 marks

This question required the candidates to describe how to consider a situation if management cannot obtain the waiver and what next steps and procedures the candidates should perform. This included consideration of any material uncertainties may exist for the support of the going concern assumptions. Same as question 4(a), the candidates did not perform well due to the lack of experience.

Question 5 – 8 marks

This question required the candidates to propose controls and measures for a new process entered into between the existing entity and the newly acquired entity. The candidates did not perform well. The controls were too general and therefore not specific enough to mitigate the risk hidden in the question.



(II) Section B – Essay/Short Questions

General Comments

Section B covered a wide range of topics from ethics, corporate governance, opening balance audit, group audit and IT audit. The case facts provided in each of the questions simulated real-life experiences that auditors encounter on a daily basis. The candidates were expected to attempt and solve these questions applying both business and auditing knowledge.

Specific Comments

Question 6(a) – 3 marks

This question required the candidates to analyse the scenario provided, explain the ethical issue, if any, and advise relevant safeguards if applicable.

The performance of the candidates in this question was not satisfactory. Quite a lot of the candidates considered the scenario from the perspective of familiarity or self-interest threat which was on the right direction. However, they missed the point that Joshua and Martin did not meet for more than 30 years and misinterpreted that they were good friends. Many candidates provided a wrong assessment in their analyses and were not able to score high marks.

Question 6(b) – 3 marks

This question required candidates to analyse the scenario provided, explain the ethical issue, if any, and advise relevant safeguards if applicable.

The performance of the candidates in this question was fair. Some candidates were able to point out this case was concerned with inducement. However, some candidates did not read the question carefully and misunderstood that the painting was given as gift from the potential client to the auditor and analysed the case from the wrong angle.

Question 6(c) – 2 marks

This question required the candidates to analyse the scenario provided, explain the ethical issue, if any, and advise relevant safeguards if applicable.

The performance of the candidates in this question was fair. A lot of candidates were able to point out the potential threat related to the mortgage loan but failed to provide a correct assessment by reference to the case fact that the mortgage loan was offered based on market terms.



Question 6(d) – 2 marks

This question required the candidates to analyse the scenario provided, explain the ethical issue, if any, and advise relevant safeguards if applicable.

Most of the candidates performed well in this question and were able to analyse and point out the issue of the self-review threat based on the case facts. However, some candidates considered that separating the service team from the audit team would be an appropriate safeguard, which was not appropriate for this case, given the significance of the private equity investments to the financial statements of the bank.

Question 7(a) – 6 marks

This question required the candidates to advise the relevant changes to the board composition which should be made to King Hong Tong to make it comply with the Main Board Listing Rules of Hong Kong Stock Exchange.

The performance of the candidates in this question was fair. Many candidates demonstrated that they were familiar with this topic. However, some candidates were unable to offer recommendations on specific changes based on the case facts and therefore could not score high marks.

Question 7(b) – 10 marks

This question required the candidates to explain which of the financial statements line items were subject to opening balance audit procedures and propose audit procedures on these balances.

The performance of the candidates in this question was unsatisfactory. A lot of the candidates proposed audit procedures on each of the financial statements line items instead of doing so for the identified financial statements line items. This question required the candidates to apply business judgement to first analyse which areas warrant the audit effort. The candidates were expected to understand that our profession always requires judgement application and there will not be unlimited resources for an audit in reality.

Question 8(a) – 6 marks

This question required the candidates to propose the audit scope for Sportless Beauty, Sub B and Sub D and explain the rationale.

The performance of the candidates in this question was fair. They demonstrated evidence of using of the case information correctly to provide their analyses and the proposed audit scope. However, not many candidates scored high marks with appropriate proposed audit scope. This may be because not many candidates have hands-on experience of participating in a group audit scoping exercise.



Question 8(b) – 8 marks

This question required the candidates to propose relevant audit procedures that should be performed by the group engagement team considering Sub E was an individually significant component of the group audit and the component audit of Sub E would be carried out by the network firm in the Netherlands.

Most of the candidates did not perform well in this question. This question required the candidates to propose audit procedures from the perspective of the group auditor on how to assess and evaluate the audit evidence gathered by the component auditor on Sub E and how to monitor the audit quality of the component auditor. However, many candidates proposed audit procedures from the angle of the group auditor to directly perform the audit procedures over Sub E.

Question 9(a) – 7 marks

This question required the candidates to propose relevant audit procedures to test the operating effectiveness of the IT general controls of Happy Bee Limited.

Most of the candidates did not perform well in this question. Many candidates failed to propose specific audit procedures in response to the case facts but only suggested some general audit procedures copied from the Learning Pack. This would not help the candidates score high marks. As the business world continues to evolve and technology advances over time, candidates are encouraged to sharpen their IT audit skillset.

Question 9(b) – 3 marks

This question required the candidates to recommend three possible IT application controls over revenue recognition of Happy Bee Limited.

Most candidates did not perform well in this question. Some common observations are some candidates could not differentiate between IT general controls and IT application controls, some candidates mixed up the audit procedures with management's controls, some candidates suggested certain IT applicable controls which were too general and were not relevant to case or specific to revenue recognition. To score high marks, the candidates are required to provide specific recommendations in accordance with the question requirements.

(III) Conclusion and Recommendation

Overall, the candidates demonstrated sensible analysis and application of standard onto the practical situation. This indicates that the candidates are becoming more competent when dealing with real live situations and applying their own judgement from an audit perspective. The candidates understood that they would not be able to score high marks by just coping the answers from the Learning Pack or other learning materials. Many candidates demonstrated that they have applied their knowledge



learnt to the case facts when solving the question problems. However, it is still expected that the candidates' analyses should be more in-depth and specific to the detail of the case facts.

More importantly, a good solution to the problem would balance both business and audit needs. Sometimes the candidates suggested audit procedures or solutions which were impractical and not feasible in real life. In addition, the IT audit topic in this examination is still a weak area for many of the candidates. They are therefore encouraged to sharpen their auditing knowledge relating to IT which is an essential skill for auditing these days. It is recommended that the candidates to join practical workshops and also leveraged from the practical experience.